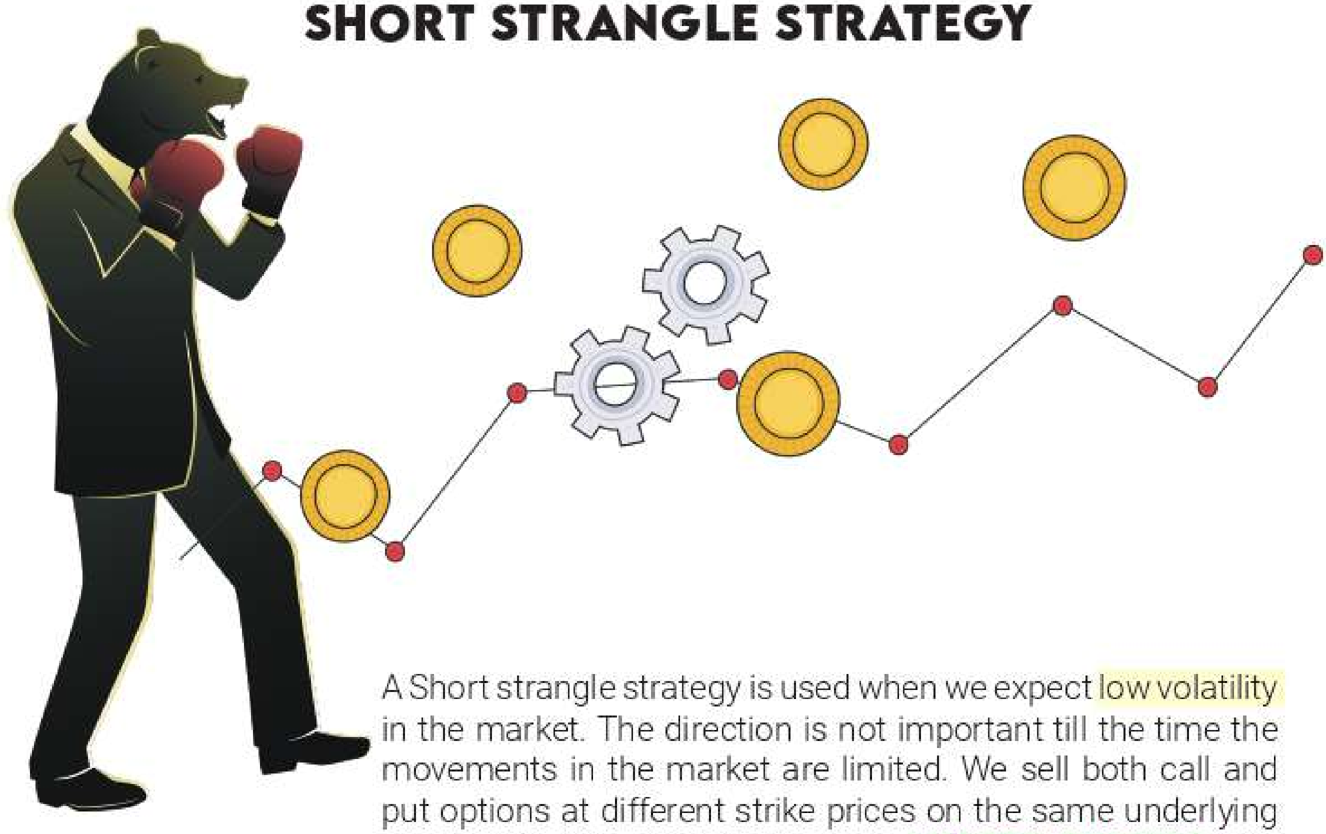
SHORT STRANGLE STRATEGY



A Short strangle strategy is used when we expect low volatility in the market. The direction is not important till the time the movements in the market are limited. We sell both call and put options at different strike prices on the same underlying asset. With this strategy, we have **LIMITED PROFITS** with **UNLIMITED LOSS POTENTIAL**. Also, as a short position holder, we have a high margin requirement.

Let's take an example and calculate payoffs from this strategy.
On a stock XYZ at CMP = ₹1000, we sell a put option at a strike price of ₹900 at a premium of ₹30 per share. And sell a call option at a strike price of ₹1200 at a premium of ₹35. Lot Size = 100.
Note that we are receiving premium this time.